



Reduce risks that have moderate consequences. The likelihood and the consequences of risk should be reduced through active measures. This can be done in the following ways.



Methods of Reducing Risk!

- **Reduce the likelihood of the risk happening**
 - Quality control, staff training, or auditing.
- **Reduce the impact of the risk that occurs.**
 - Emergency procedures, safety equipment and minimising exposures to sources of risk.

Accept risks that do not occur frequently and leave a minimal impact. Such risks are best accepted the way they are; no active effort is put in reducing such risks.



Various risk levels have different ideal strategies. However, not all strategies are feasible in each situation. For instance, a risk that must be transferred may find itself being accepted due to a firm's inability to transfer it. Each of the risks should be understood and appropriate strategies should be designed.

**Geographical
Concentration
Risk**



Insurance Industry

Huge Risk! for